Incentivism

contribute to token economy goals

incentive-aligning

promote user acquisition

STEP 5 **Incentive mechanisms**

Non-monetary	Monetary
Access to product	Token rewards
Reputational gains	Revenue share
Network effects	Dividends
Gamification	Token price appreciation
Participation in governance	

- Using the product
- Investing
- Contributing to development
- Participation in governance

STEP 4 Defined need for (non-) monetary incentive mechanisms

STEP 3 Defined desirable behaviours

Non-monetary	Monetary
Community-oriented outcome	Tied to monetary outcome
Effective in long-term	Effective in short-term
Less expensive to distribute	Costly

matches stakeholder expectations with token economy functions

Defined token value proposition

STEP 1 Defined token economy stakeholders

Users	Developers
Miners	Community
Investors	Exchanges

STEP 2 Defined token economy functions

Digital currency	Trading platform
Wealth protection	File storage network
Investment vehicle	Social network

Governance

Issue	Support mechanism
Inaction from decision fatigue	Prediction markets, algorithmic screening
Inaction from rational ignorance	Delegated voting, better education
Sybil attacks	Proof of Personhood (PoP) systems

Governance

1T1V	Time-Weighted
Reputation-Weighted	Quadratic Voting

STEP 7 Support mechanisms for voting

STEP 6 Core voting mechanism

	Off-chain	On-chain
Pros	Greater flexibility for complex decision-making	Transparency, accountability, inclusivity
Cons	Prone to centralisation	Subject to security risks; computational-resource heavy

STEP 4 Defined need for on-chain / off-chain mechanisms

STEP 5 Desired voting mechanism properties

Centralisation	Decentralisation
Regulation & compliance	Transparency
Efficiency & speed	Autonomy & resilience
Security & control	Greater innovation

STEP 3 Defined level of decentralisation

STEP 1 Defined governance areas

STEP 2 Defined stakeholders

General updates to the protocol	Marketing and branding matters
Distribution of funds	Community matters

Property	Explanation
simplicity	Keep governance as simple as possible
accountability	Participants need to have 'skin in the game' - via token staking or reputation
inclusivity	Protection against plutocracy; smaller stakeholders have an equal standing
time efficiency	The capability to decide on time-sensitive governance areas
preference intensity	Voters can have a larger influence over decisions they are particularly interested in
security	Protection against Sybil attacks

Tokenomics

maintains token price stability

incentivises token usage

adaptive

sustainable

Tokenomics

Distribution mechanism	Use case
Inflationary	To encourage spending; flexibility to adjust to market conditions
Deflationary	To induce scarcity; for long-term store of value

Mechanism type	Mechanisms
Reducing token supply	Token burns; token buybacks
Promotes token holding	Token staking; token vesting

Token release schedule

Token price stability

STEP 1 Amount

STEP 2 Timing

STEP 3 Distribution mechanisms

STEP 4 Token inherent value

STEP 5 Price management mechanisms

Timing strategy	Advantages	Disadvantages
Pre-listing	Secures critical mass of early interested users	Hard to price the token
Post-listing	More accurate pricing; enables fair token launches	Harder to generate user interest

Distribution mechanism	Use case
Private sale	Shorter timeline; greater control over investors
Public sale	For building a larger community; increasing demand

- Governance rights
- Representation of an asset
- Value from network
- Claim to earnings